CLASS 10 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 1

Chapter 20: **Globalisation and the Indian Economy (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. The WTO's aim of liberalising trade is criticised because: 1

(a) developed countries keep barriers while asking others to remove them
(b) it closes markets
(c) it bans trade
(d) it increases barriers

2. Which of these is not a role of the government in fair globalisation? 1

(a) allowing employers to ignore labour laws **(b)** negotiating at the WTO
(c) implementing labour laws **(d)** supporting small producers

3. A consumer in a city can now choose among many brands of mobile phones. This is due to: 1

(a) tariffs **(b)** liberalisation and foreign investment
(c) closing of trade **(d)** quotas

4. The urban middle class benefited the most because of globalisation as they had: 1

(a) fewer goods **(b)** no income
(c) lower income **(d)** greater purchasing power and choice

5. If workers lose jobs because small factories close due to cheap imports, the effect is on: 1

(a) employment **(b)** quotas **(c)** tariff **(d)** exports

6. A foreign company buys a local biscuit maker and starts selling its own brand. This is an example of: 1

(a) a tariff **(b)** a quota
(c) an MNC buying up a local company **(d)** a subsidy

7. Workers in a factory are hired on three-month contracts. This reflects: 1

(a) flexible labour practices **(b)** increased wages for all
(c) strong job security **(d)** permanent jobs

8. The 'Chinese toys' example in the chapter shows that: 1

(a) India imports no goods
(b) foreign trade connects markets and gives consumers choice
(c) trade is banned
(d) China cannot produce

9. A foreign soft drink brand becomes available in almost every Indian town. This is mainly a result of: 1

(a) closure of trade **(b)** foreign investment and liberalisation
(c) high tariffs **(d)** import quotas

10. Which of the following is a feature of an SEZ? 1

(a) high taxes **(b)** no taxes for an initial five years
(c) no electricity **(d)** no roads

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why did India remove barriers in 1991? 2

12. Why are call centres located in India? 2

13. How does technology help in trade? 2

14. Why does the WTO draw criticism? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Why are developing countries concerned about WTO rules? 3

16. Why is the Indian consumer better off after globalisation? 3

17. How do small producers compete with MNCs? 3

OR

Why do firms in SEZs not pay tax for five years? 3

18. How do trade barriers differ from liberalisation? 3

OR

Why do MNCs place orders with small producers? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. What is fair globalisation? How can it be achieved? 5

OR

Explain with examples how Indian companies have become global. 5

20. Explain how MNCs and foreign investment link economies. 5

OR

Discuss the effect of globalisation on consumers in urban and rural India. 5

END OF QUESTION PAPER — Total: 40 Marks